Microsoft Corp.

Update on Azure, Capex and M365

Summary

As we approach Microsoft's 4Q/Jun print this week, we offer our fresh thoughts on Azure and M365/Office growth based on a dozen or so recent conversations with Microsoft customers and partners, in addition to updating our view on FY27 capex, margins and the impact of AI model-layer trends such as token optimization and open models on Microsoft. Bottom line, we remain BUY-rated but are more tactically balanced into this print.

Updated Views

We're eyes-wide-open to the reality that the Street is not rewarding the stocks of AI infra providers that signal higher capex spend and/or don't post upside to cloud revs growth and margins (see Oracle and Google). While Azure/AWS demand appears to be very healthy and the GitHub Copilot pricing change offers a modest Azure growth rate boost, capacity constraints on external customers and early token optimization efforts could limit the potential for material Azure guidance upside, while capex estimates could move higher on MT demand and memory inflation. We're raising our FY27 capex estimate from $234b to $261b. On the M365/Office side of the house, we are getting more comfortable, partly due to Copilot/Cowork improvements, but more because of the confluence of M365 segment price changes. Anticipating this, we're raising our FY27 M365 Commercial Cloud segment growth estimate by 70 bps to 16.2%.

The Stock Set-Up

Microsoft shares have lagged most peers and the stock is -21% YTD on issues that we hope to have addressed in this report. The set-up benefits from the fact that many investors are already mixed about the stock and the AI infrastructure market in general, nervous about rising AI capex (we estimate that the investor bogey for FY27 capex is already $255-260b), uncertain AI ROI and high exposure to frontier labs (a new concern given share gains by open models). In our view this set-up mitigates the downside risk even if AI capex were to rise and the 2H Azure guide was reaffirmed (not raised).

Valuation:

At CY27E multiples of 19x GAAP EPS and 17x non-GAAP EPS, we still view the stock as being reasonably-priced, given strong AI monetization potential and steady mid-teens EPS growth. Given weaker AI infrastructure market sentiment, we're trimming our PT modestly from $510 to $480, based on an assumed CY27 non-GAAP PE multiple of 21x (prior 22x), still a deserved premium to the peer group.

Equities

United States

Software

12-month rating	**Buy**
12m price target	**US$480.00**
	Prior : US$510.00
Price (24 Jul 2026)	**US$381.70**

RIC: MSFT.O **BBG:** MSFT US

Trading data and key metrics

52-wk range	US$542.07-352.83
Market cap.	US$2,842b
Shares o/s	7,445m (COM)
Free float	90%
Avg. daily volume ('000)	39,099
Avg. daily value (m)	US$15,658.4
Common s/h equity (06/26E)	US$450b
P/BV (06/26E)	6.3x
Net debt to EBITDA (06/26E)	NM

EPS (UBS, diluted) (USD)

	06/26E			
	From	To	% ch	Cons.
Q1	4.13	4.13	0	4.13
Q2	4.14	4.14	0	4.14
Q3	4.27	4.27	0	4.27
Q4E	4.41	4.41	0	4.24
06/26E	16.95	16.95	0	16.80
06/27E	19.49	19.26	-1	19.40
06/28E	22.68	22.12	-2	22.78

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Highlights (US$m)	06/23	06/24	06/25	06/26E	06/27E	06/28E	06/29E	06/30E
Revenues	211,915	245,122	281,724	330,768	388,382	457,952	534,802	612,016
EBIT (UBS)	89,694	109,433	128,528	155,220	179,566	208,338	239,431	269,055
Net earnings (UBS)	73,307	88,136	105,295	126,294	142,881	163,478	188,130	212,063
EPS (UBS, diluted) (US$)	9.81	11.80	14.11	16.95	19.26	22.12	25.56	28.93
DPS (net) (US$)	2.71	2.98	3.28	3.61	3.97	4.37	4.80	5.28
Net (debt) / cash	64,025	23,913	51,414	49,906	1,299	(13,408)	(23)	34,203
Profitability/valuation	**06/23**	**06/24**	**06/25**	**06/26E**	**06/27E**	**06/28E**	**06/29E**	**06/30E**
EBIT (UBS) margin %	42.3	44.6	45.6	46.9	46.2	45.5	44.8	44.0
ROIC (EBIT) %	75.7	60.4	50.7	48.2	38.2	31.1	27.7	25.3
EV/EBITDA (UBS core) x	18.6	20.8	18.9	13.8	11.7	9.5	8.0	6.8
P/E (UBS, diluted) x	27.3	32.0	30.1	22.5	19.8	17.3	14.9	13.2
Equity FCF (UBS) yield %	3.0	2.6	2.3	2.4	0.1	1.5	2.7	3.7
Dividend yield (net) %	1.0	0.8	0.8	0.9	1.0	1.1	1.3	1.4

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 381.70 on 24-Jul-2026

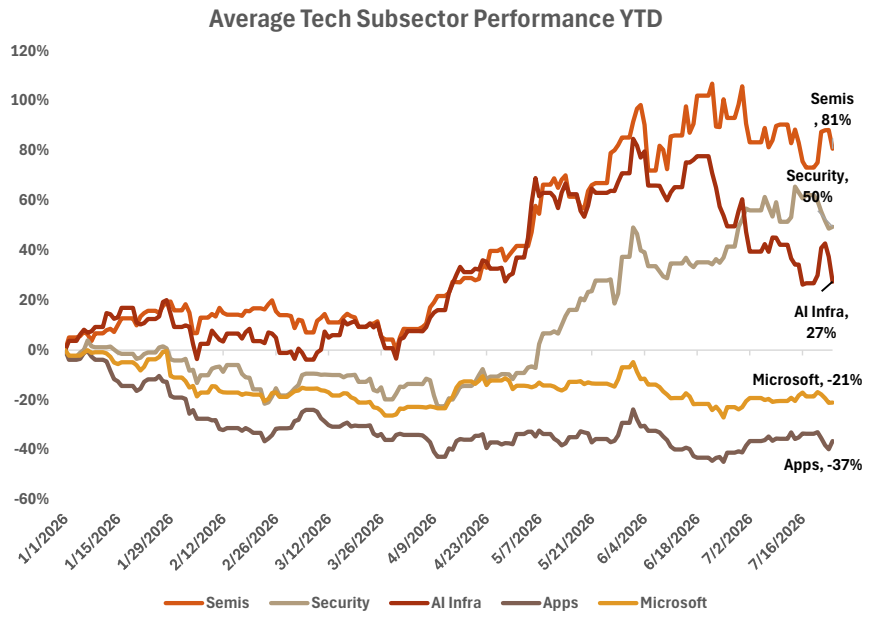
This report has been prepared by UBS Securities LLC. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 26.**

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Share Price Underperformance

Microsoft shares are -10% (-21% YTD) since reporting 3Q/Mar results in late-April, a quarter highlighted by a slightly better-than-expected 2HC26 Azure growth outlook and positive M365 Copilot seats adds (+5 million sequentially and guidance for another 5+ million in 4Q/Jun), offset by a material raise to CY26 capex expectations. As we illustrate in Figure 1 below, this YTD performance has materially lagged the larger-cap semi stocks, AI/cloud infrastructure peers and cyber-security stocks. In our view, this trading dynamic – as well as our own investor conversations – suggests that the investor angst isn't just about the perceived AI disruption risk to Microsoft's crown jewel Office productivity suite, but is also back to being about AI capex ROI.

Figure 1: Relative Share Price Performance



Semis	NVDA	AVGO	TSM	ASML	AMD	MU	INTC	AMAT
Security	CRWD	FTNT	OKTA	PANW	ZS			
AI Infra	AMZN	GOOG	ORCL	CRWV	NBIS	IREN	DOCN	
Apps	ADBE	NOW	INTU	ADSK	WDAY	VEEV	TEAM	

Source: FactSet

Key Investor Debates

In our view, this underperformance is rooted in a several investor concerns described below. This report is focused on the two primary concerns – Azure/capex ROI and Office/ Copilot – and what could possibly reverse the investor narratives going forward. We'll tackle each of these concerns and discuss if and how they might reverse.

- **AI Capex and Uncertain ROI:** Investor tolerance for rising AI capex has over the past few years flipped between positive (more capex is a signal of strong demand) and negative (the industry is over-investing and returns will be weak). Our sense is that investors are now back to worrying about higher capex, evidenced by the recent weakness in Amazon, Oracle and CoreWeave shares. Concerns include a) the impact of memory/hardware inflation on capex estimates and returns/margins, and b) how this gets financed (will Microsoft need to fund via an equity raise?).

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- **Token Optimization and Model Down-Tiering:** With the YTD surge in AI use and corresponding token spend, the majority of our enterprise customer checks are now signaling plans to reign-in this growth and optimize token spend, in part by down-tiering to lower-cost AI models. We conclude that there is no strong consensus yet in terms of the impact of this trend on near-term hyperscaler AI revenue growth (the consensus is that the medium-term impact should be positive).
- **OpenAI Exposure:** Given the consensus view that open source (Chinese and other) AI models are poised to take share from the frontier labs, investor sentiment about Microsoft's high OpenAI exposure has swung back to being perceived as a risk, contributing to the weakness in the shares of the hyperscalers with large frontier lab exposure (Microsoft, Oracle).
- **Apps Segment - Office Growth, Competition and Copilot:** For much of the last 6+ months, investor confidence in Microsoft shares has been eroded by concerns about the flagship productivity software suite and in particular a view that a) M365 Copilot adoption has disappointed, b) Microsoft's pace of innovation is lagging, c) OpenAI and Anthropic have stepped into the "knowledge work" software arena and are now rivals and d) the prospect that muted Office seat growth could take the zip out of core M365/Office growth.

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Azure Growth and Capex

In our view, it was concerns about the Office/Copilot side of the house that were weighing on the stock for much of late-2025 through April/May. In our judgement, over the last few months the debate has swung back to Azure/capex story, such that we'll start here.

Broader Azure Demand Checks

Let's start by reviewing our broader Azure/cloud infra checks from the last few months. As investors are well aware, hyperscaler (AWS, Microsoft Azure, Google Cloud) revs and backlog growth has been extraordinary over the last several quarters. See link here to a report we wrote summarizing the 1Q/Mar results, which were marked by strong core cloud migration activity as well as strong demand for AI infrastructure. As we discussed in depth in that report, we also concluded that the hyperscalers are benefiting materially from their role as front-ends to the models and 1P products (such as Claude Code) from OpenAI and Anthropic. Each of AWS, Azure and Google Cloud recognize revenues from those sales, offering a source of revenue upside that goes well beyond serving as providers of compute infrastructure. This was very evident in the 2Q26 results from Google Cloud, with revs growth of +82% boosted by core demand but also by the sale of Gemini model access, Gemini Enterprise subscriptions and even TPU hardware sales. In this round of checks we didn't pick up any strong indications from customers and partners that these positive trends would reverse.

- **Partner 1 –** *There's still a lot of migration activities with plenty of industries that haven't adopted the cloud or have clunky systems left on prem. The other thing driving Azure is AI to a certain extent. I would say growth is going to be stable to slightly accelerating next FY.*
- **Partner 2 –** *At the end of June, we were going over results with Microsoft. They told us Azure growth hasn't been as strong with us and we said there was capacity constraints for customers. They said they knew that and they were working hard to build more data centers. When that happens though, that could be months and months because data centers don't pop up overnight. We're not tweaking our 2H Azure targets. We're really pushing Google to diversify against Microsoft. Microsoft made some painful changes to us on EA rebates that lost us pure margin. Second, Google has come out with some really attractive incentives.*
- **Partner 5 –** *I think Azure is definitely benefiting from AI demand. Many big conversations are now starting with AI and then going into cloud and data modernization which is the other way around than how it used to be. This quarter was in line with our expectation.*
- **Partner 6 –** *We are still seeing Microsoft being very capacity constrained but it's the worst for companies that are all-in on Microsoft. They are basically being told that there is no capacity in certain regions or it is 20% higher cost. We are telling customers it's safer to just sign pay as you go contracts.*
- **Partner 7 -** *Azure growth is well-balanced. It's starting off with core IaaS and PaaS. That's still the number one driver. Then you have the variety of AI features and capabilities that are offered. Third, Fabric, which is inherently a part of the Azure platform. By extension I would pull in Microsoft security. Those are the key drivers.*
- **Customer 1 -** *Azure spend will contract 5-10% driven by the shift away from M365 and OpenAI. Google is increasing 20% per year because of Workspace but also their simulation tools, TPUs, and algorithms.*
- **Customer 2 -** *Cloud spend has been driven by migrations. We're trying to get it to around a 10% increase just to get more workloads there. But now we are renting more and more GPUs and CPUs because we're building an in-house custom solution that we are putting on the cloud. So I do believe it will go a little bit higher, 15% probably.*
- **Customer 3 –** *Hyperscaler spending is something that got us before AI. We were not prudent in deciding what we brought to cloud and if we did pure lift and shifts, it had severe consequences. We repatriated a few workloads, not many but a few to see if that decision works. That reduced our cloud exposure. Our spend is very modestly increasing, maybe 3-4% this year.*

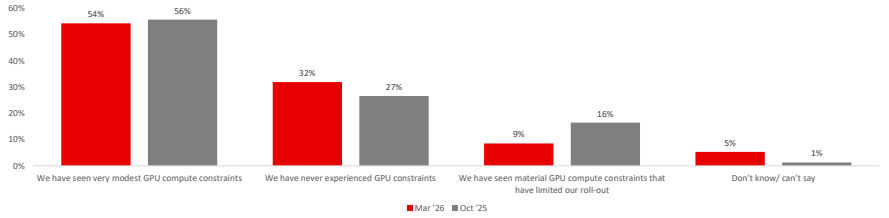
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- **Customer 5 –** *Right now we have AWS and Azure. AWS might be 80% of our data. On a y/y basis, our spend on cloud has increased 25%. The key drivers are app migrations in progress, with the big one being SAP to Rise. That's in AWS.*

Azure Capacity Constraints

If there was one thing that bubbled up in these checks that sounded new, it was the few references above to customers experiencing Azure capacity constraints. This is "new" because in most of our conversations and survey work over the last 1-2 years, this constraint hasn't come up much. We conduct a semi-annual Enterprise AI survey (see link to latest report here) and we ask ~130 enterprises about capacity constraints. As shown in Figure 2 below, "material" GPU/capacity constraints are flagged by <10% of respondents. We're frankly unclear why this came up in these checks, whether Microsoft simply didn't add as much capacity as it had in the previous quarters (1 GW per quarter) or because Microsoft allocated more of its incremental capacity to internal needs. At its early-June Build conference, Microsoft's CEO said that the company had added more capacity in the last 18 months than it had in the previous prior decade (obviously not indicative of a capacity add issue). Nonetheless, this dynamic could skim off some of the Azure upside potential in 4Q/Jun.

Figure 2: What GPU capacity constraints have you experienced from your cloud infrastructure provider over the past 12 months as a result of AI-enabled applications?



Source: UBS Evidence Lab (> Access Dataset)

Token Optimization and the Impact on Azure Growth

It is clear to us (and most investors) that after many enterprises leaned heavily into AI use and experienced unexpectedly-high AI token costs in 1H, that 2H is increasingly being marked by a more rationale spending approach, to optimize token consumption and eliminate unnecessary spend, in many cases by pivoting to less expensive open source models for non-frontier tasks. We first picked up evidence of this phenomenon in May 2026 and have since published 4 reports on this subject:

- **June 8:** "Token Costs – What Customers are Saying" (link here)
- **June 23:** "The Ramp in Token Optimization" (link here)
- **July 13:** "AI & IT Budgets Through the Procurement Lens" (link here)
- **July 21: "**Open Models and the Impact on the AI Trade" (link here)

With $37 billion in annualized AI revs in 3Q/Mar, it is very fair to ask how Microsoft and its Azure segment may be impacted by these trends. In our view, the consensus investor opinion is that these trends could be a net positive for Azure growth (and that of AWS as well). The rationale is rooted in a view that a) an AI model market dominated by three frontier lab giants (Anthropic, OpenAI and Google) creates risk for the hyperscalers, with too much economic power concentrated in too few customers, while a more diffuse and competitive multi-model market diminishes that risk, and b) Azure and AWS are already platforms offering access to a host of models, with cloud-hosted inference compute required whatever model is selected, and c) while open models may be more token-efficient (same job, less need for compute), there is a belief that lower AI costs may drive more AI tasks and hence be at least net neutral or better.

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We are sympathetic to these views but there are also some risks to Azure revs growth from these trends to keep in mind that serve to keep the potential for 2HCY26 Azure upside in check. Microsoft's comments on the impact of token optimization and open models on 2HCY26 Azure growth will be important, including as a read to AWS.

- **API Revs Growth:** Azure as well as AWS and Google Cloud are now materially monetizing OpenAI, Anthropic and Google model API access, as well as IP product demand, and any material customer effort to optimize token consumption and route to open models could impact the growth of these revenue streams in 2H. This was certainly not evident in Google Cloud's 2Q26 results (growth accelerated to +82%) but much of the excessive enterprise token spend appears to be in coding use cases for which Gemini models are less dominant.
- **High OpenAI Exposure:** Microsoft is indeed multi-model, mitigating the risk from a share shift to open models, but Microsoft obviously has a very high exposure to the continued strong growth of one of the frontier labs – OpenAI. Given that a strong majority of Microsoft's AI revenues are derived from OpenAI and selling access to OpenAI models/products, and a very large portion of the committed backlog is derived from OpenAI, any impact that token optimization and open model share gains have on OpenAI's growth could impact Microsoft and its share price multiple. Indeed, in our view this is a key reason why the shares of Microsoft, Oracle, CoreWeave and other AI infra providers have been weak since early-June when these issues first arose.
- **Azure Optimization:** We have heard from a few customers that one lever (among many) to fund higher-than-expected AI token costs is to optimize elsewhere in their Azure/AWS spend.

Feedback from Latest Microsoft Checks

We addressed these subjects in our recent customer/partner checks and heard:

- **Partner 1 –** *Customers are looking at personas and workflows to assess token guardrails. It's possible to have credits per user per month limits and if they use them up, they can have a decision to add more credits or leave as is.*
- **Partner 2 –** *We are definitely seeing more token cost awareness. Costs are ballooning and customers are getting a lot more pushback from sourcing to control it. It's still relatively early because a lot of customers who are using it are not the heavy users. Those examples are the Amazon's and Uber's really pushing AI, but a lot of our customers are not creating token-maxxing dashboards to see who is using the most. For those that are controlling costs, there's lower tier models they're looking at. Others are putting caps on usage and driving reporting.*
- **Customer 2 –** *I am starting to worry about token spend. We're using Copilot and a lot things like Claude, OpenAI, and Gemini, and this is the one area that we're seeing exponential growth. My spend per developer used to be $100. Then it went to $200. Now I got an average of $1,500 a person. And that's within 6-7 months. We went from spending $23,000 to $100,000 a month. So we are finding out that there's this line where giving AI to everybody is not the right solution. So far, we were able to show value to these investments that are paying for this cost. You don't need the state of the art models all the time. I don't need Opus 4.8 to do all the work. I can go down to maybe OpenAI Mini for 90% of what I do. Model routing is mainly manual and about educating people today.*
- **Customer 3 –** *We're separately monitoring token spend now but it goes to the broader AI budget. We're quite cautious around that. We know we're going to pass our limits. We are trying to make sure it's under control by not opening everything to every user. We are making sure we are passing them through training to use tools. Consumption pricing is one of the biggest concerns we have. Even if we push back, these vendors do have big costs on their end, so this cost will flow to us. We try to look for alternatives as much as possible. Sovereign data centers for example, if we can bring some models into data centers, that is one opportunity.*

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- **Customer 5 -** *As of now, we haven't faced any token budget issues. Token usage is increasing and it can directly impact cost in the future but it all depends on the level of usage. Since we have tried to control usage with governance measures, not everyone gets the same level of access. We are trying to limit pilot groups, premium features, and monitor usage patterns. We don't have a separate managed budget.*
- **Customer 8 -** *Of course the thing we're most concerned about with AI is cost. We had competing priorities at the start of year: reduce cloud spend and increase AI use. Even with the cloud rightsizing we've done, AI spend has well outweighed that. We got our first bill and leadership said 'we don't have the money for this'.*
- **Customer 9 –** *We are diversifying our AI partners, moving away from our Microsoft centricity, really just for risk management. We need to be multi-model and are now talking directly with Anthropic and OpenAI. On token spend, it is up materially to be sure, but we are not overtly optimizing yet, we are trying to push AI adoption. Rather, we are trimming elsewhere in our budget to make room, mostly by tempering headcount growth but also by pulling back on our spending growth with external IT services partners. We have internally-built model routing features, and are really trying to be smart, routing non-frontier tasks to non-frontier models.*

Thoughts on Satya's Blogs

While not an input to how we and investors are thinking about the 4Q/Jun numbers, the most notable and interesting intra-quarter development with Microsoft has been the flurry of blog posts published by the CEO Satya Nadella, which triggered much discussion with investors. As these excerpts show, the common thread in these statements is a resistance to the growing control/power of a few frontier AI model providers (Anthropic, OpenAI and Google) and a desire to position Microsoft as being on the side of enterprises that want more AI model choice and more control over their IP. This message (Palantir's CEO has expressed similar views) is somewhat self-serving, as Microsoft and Palantir are not 1P frontier model providers and could both benefit from less concentration (more diversity) in the model market and also a greater focus on harnessing corporate IP/data to fine-tune foundation models to create more custom/specialized models (both Microsoft and Palantir are major data software providers and Microsoft would be a natural choice to host, build and secure open/custom models).

The fact that Microsoft's CEO is so firmly and openly advocating for a future marked by model diversity hints strongly that a) these trends (as described above) are real and b) they likely benefit Microsoft. Our only question is that these statements appear on the surface to raise issues with the safety (IP control) of enterprises using the frontier AI models, interesting in light of Microsoft's material exposure to and investment in OpenAI. This may trigger some to question whether there is any new source of friction between Microsoft and OpenAI that would be impactful over time to the numbers and/or the stock. The consensus view of investors is that Microsoft's CEO will address these issues and the opportunity associated with model diversity in his remarks on the 4Q/Jun earnings call, and if these remarks improve the Street consensus view of how these AI model market changes impact Microsoft, they could prove to be impactful to investor sentiment and the follow-though in the stock.

- **Jun 14 - A Frontier Without an Ecosystem is Not Stable** (link here): In this post, Microsoft's CEO describes an AI platform shift, "where AI models can continuously absorb the expertise of humans and organizations and commoditize it", "the real opportunity is not in picking the best model but in building a learning loop on top of models", "a company should be able to switch out a generalist model without losing the company veteran expertise built into their learning system" and "the last thing any of us want is a world where every company is ceding value to a few models that eat everything they see, think about what happened in the first phase of globalization where entire industrial economies were hollowed-out by outsourcing, let us not bring that dynamic into the AI era, with a small number of AI systems capturing all of the economic returns, while entire industries find their knowledge commoditized right out from underneath them". To protect against this, the CEO advocated for a "frontier ecosystem, not just a frontier model, one where every organization can own the learning loop that encodes its institutional knowledge".

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- **Jul 12 - The Reverse Information Paradox** (link here): In this post, the CEO doubles-down on the risk to using frontier models, writing that "the buyer risks giving away…the proprietary knowledge you must reveal to make that intelligence useful", "this requires more than just data protection, as the models learn from exhaust", "I find it ironic that the status quo is to impose restrictions on distillation and to reserve the right to learn from customer usage and interaction data", "if learning flows in only one direction, economic value converges toward the owners of the learning infrastructure rather than the creators of the knowledge itself", "this is why enterprises need a trust boundary" and "enterprises will demand the rights to use model outputs to fine-tune and/or train their own models".
- **Jul 24 – Open Weights and American Leadership** (link here): The CEO joined forces with the Nvidia CEO and many others, saying that "open weight models are essential to a healthy AI ecosystem".

GitHub Copilot Consumption Pricing Changes

As readers may recall, one of the key takes from the 3Q/Mar earnings call was the emphasis on the coming pivot to a usage-based pricing model, for GitHub Copilot but potentially to other parts of the portfolio – knowledge work and security tech. Microsoft claimed that it had seen a material YTD ramp in GitHub Copilot token usage, which lands in Azure. Effective June 1 2026, Microsoft transitioned GitHub Copilot pricing from a seat-based license to credit-based consumption, with the base seat price now offering a set number of credits per user per month. In periods of strong usage ramps, this pricing shift could prove to be meaningfully revenue accretive. Nivida's CEO addressed the impact of agentic systems on coding output during the recent Microsoft Build keynote, saying *"If you look at GitHub, the commits into GitHub has gone completely parabolic. In the last several months the number of commits increase by a factor of three."*

In one of our recent conversations, a large bank customer of GitHub Copilot told us that their GitHub Copilot spend was up 10-20x (yes, 10-20 **times** and not %) post the pricing change. See below what we heard from others:

- **Partner 2 –** *Over the years we've had customers move away from GitHub Copilot. I don't think it's been competitive. First, the availability of the environment has been poor. Uptime isn't good. Second, performance is bad with the code you get. I talk to a lot of developers who say it's the worst. They don't use it. It's mostly Claude Code and Codex.*
- **Customer 2 –** *We have GitHub Copilot. We're putting a budget limit on the total spend. We're also putting budget limit in every seat. And then we're having some checkpoint about certain roles that get it.*
- **Customer 3 -** *GitHub Copilot is essential functionality for us.*
- **Customer 5 -** *We use GitHub Copilot. That's the most-used tool in our organization. It has helped developers to write code faster and improve code quality. We don't rely on GitHub Copilot entirely but it's helping speed development and accelerate onboarding. We do not use Claude because we are not trying to trust more on Claude. For an oil and gas company, we try to focus on using companies that have been a long time in the market and are stable. We have heard that there are going to be pricing changes and that's something we're paying attention to. I wouldn't say it has significant impact but when we have thousands of users, a small increase can add up.*
- **Customer 6 -** *The whole AI token tracking concept started after the GitHub pricing change. With consumption-based billing, it was much more expensive. If you had 100 employee seats, maybe 60 were using it a ton and 40 were not using much at all but you paid for 100 licenses. With consumption, maybe those 60 are generating a bill that was the same as 150 employee seat licenses so now we are trying to manage that. We are seeing value there even with consumption pricing though.*

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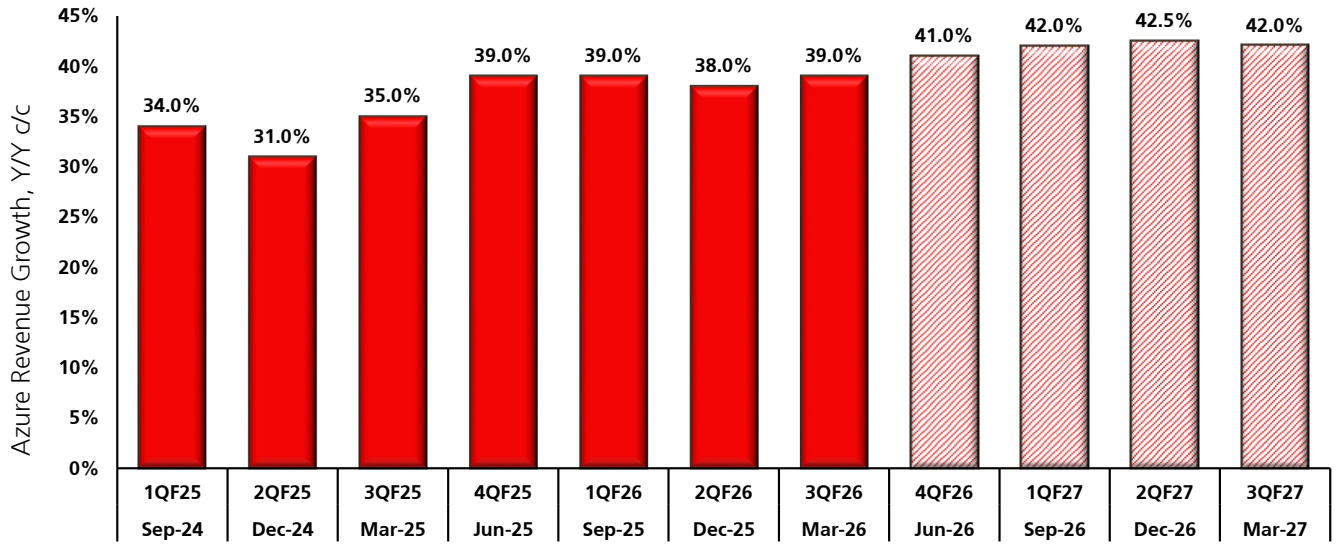
Could the Pricing Change Boost Azure Growth?

We pressed customers on the impact of these changes to GitHub Copilot bills, and while some were proactively managing spend (*"We're putting a budget limit on the total spend and every seat"*), others were caught off-guard (*"The whole AI token tracking concept started after the GitHub pricing change. With consumption-based billing, it was much more expensive"*). Frankly our GitHub Copilot estimates now appear too low given the pricing change, even if we account for the potential for some churn driven by the recent April GitHub outages (with lingering impacts into June) as well as competition (notably, GitLab has spoken to some early success in low-end customer displacements, while Cursor has launched an alternative to the Git source code repo). Bottom line, we're raising our GitHub Copilot revs estimate in 4Q/Jun (from $289m to $326m) and for FY27 (from $1.57b to $1.95b, adding ~40bps of revs growth to FY27 Azure growth).

Bottom Line – Unchanged Azure Estimates

Microsoft has guided to 4Q/Jun c/c Azure growth of 39-40%, and in our view the investor consensus is for a 1-point beat to 41%, in-line with our estimate. Microsoft also guided to "modest acceleration" in Azure growth in 2HC26, with the investor bogey at ~43% by 2Q/Dec 2026 (also in-line with our estimate). Reflecting on the discussion above, positives include the strong overall hyperscaler demand signals (including from the Google Cloud results) for both CPU as well as GPU-based workloads, coupled with a modest boost from the GitHub Copilot pricing change. Offsetting this could be issues as noted above with Azure capacity constraints on external customers in the quarter, as well as any tempering of AI revenue growth resulting from token optimization trends. Bottom line, we've elected to leave our c/c Azure growth estimates unchanged. We're still comfortable modeling an Azure acceleration to 42-43% by 2Q/Dec 2026, although we'd note that for growth to reach the mid-40s in 2HC26, sequential dollar adds for the 1Q/Sep and 2Q/Dec quarters would need to reach nearly $3 billion, down from our 4Q/Jun estimate of $3.4 billion but still significantly above the year-ago period, hence we're staying measured with our model.

Figure 3: UBS c/c Azure Growth Estimates



Source: Company filings, UBSe

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Raising Our Capex Estimates

Sentiment on Microsoft shares was held in check into the previous 3Q/Mar print on concerns that Street capex estimates needed to move much higher, while even buy-side capex estimates may have an upward bias, given such strong signals about external/ internal demand as well as the need to absorb memory hardware inflation. In the end, Microsoft's capex guidance was even higher than we anticipated – to $40 billion in 4Q/ Jun and ~$60 billion per quarter on average in 2H to get to a calendar year 2026 guidance of $190 billion. Microsoft signaled two main drivers: a) demand for compute – from external customers as well as internal R&D teams and inference needs, and b) memory hardware inflation, boosting 4Q/Jun capex by $5 billion and 2H CY26 capex by $20 billion (annualized $40 billion) for a full year CY26 capex boost of $25 billion from memory hardware inflation alone.

The set-up is similar heading into this 4Q/Jun print, with investors nervous that Microsoft may need to inch up capex estimates **again**, much like Google did on its call this past week. This bias stems primarily from higher DRAM/NAND pricing since Microsoft last set its capex guidance (although we're cognizant that Microsoft's sensitivity to spot memory pricing may be less than most think), coupled with still-strong overall AI demand signals. To be conservative (we've consistently underestimated capex over the last few years), we're moving our capex estimates up ahead of the print, for both 4Q/Jun (to $41.8b from $41.0b) and FY27 (to $261b from $234b). For CY2026, our capex estimates move to $202b, above the current $190b guide.

FY27 Capex Bogey

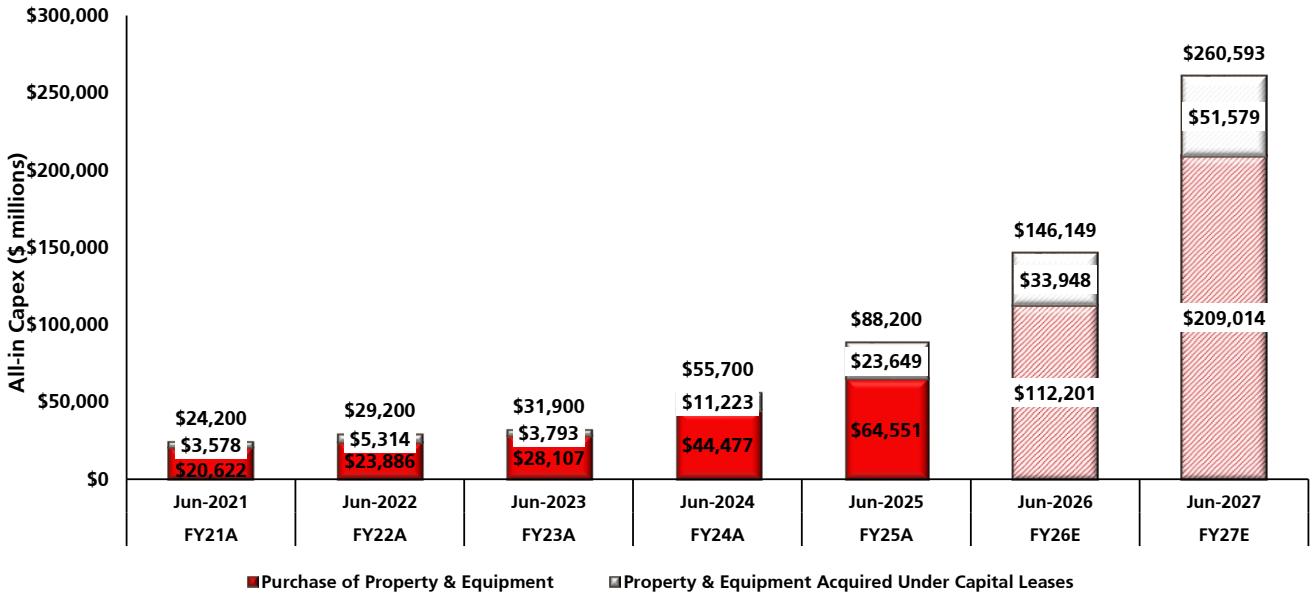
In terms of the guide on this pending 4Q/Jun call, we're unclear whether Microsoft will update the CY26 guide of $190b, or extend the forecast and offer guidance for FY27. Relative to the sell-side consensus capex estimate of $230-235b for FY27, our best estimate is that the investor consensus estimate is closer to $255-260b (we hear some investors as high as $270-$300b), roughly where we landed and ~$25 billion above the sell-side consensus. The fact that investors are much higher and already worried about a capex raise from Microsoft obviously helps the stock set-up, although we'd counter that this was true into both the recent Google and Oracle prints and capex raises from both were not greeted with applause.

Low Likelihood of an Equity Raise

With our ~$25b capex raise for FY27, our FY27 FCF estimate (OCF less cash capex) is now almost break-even, at just +$3 billion. The Google and Oracle equity transactions have raised questions as to whether Microsoft may be forced to raise external capital. We can envision Microsoft accessing the debt financing markets, but we are attaching a low probability to the company turning to the equity markets. Google did so at what was an all-time share price high. Microsoft shares are almost 30% off its highs and trading at a very reasonable 2027 non-GAAP EPS multiple of 17x. In our judgement, Microsoft's CFO will not be eager to issue equity at these levels.

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Figure 4: UBS All-in Capex Estimates



Source: Company filings, UBSe

Margin Impact from Rising AI Costs

In our view, the EBIT margin performance and outlook ranks further down on the list of investor debates into this 4Q/Jun print, but the subject has come up in many of our conversations over the last few weeks. The concern is of course around the impact that higher capex has on the depreciation waterfall into COGS and the resulting pressure on GMs. Microsoft has been clear that there will be GM pressure. In 3Q/Mar, total company margins landed about in-line, including GMs of 67.6% and operating margins of 46.3%. That said, one key take is that the magnitude of both GM and OM pressure as Microsoft shifts its Azure mix to be more AI-centric has not proven to be as material as investors feared 1-2 years ago. In 3Q/Mar, GMs were only down 110bps y/y despite Microsoft now generating $37 billion (11% of revs) from AI revs. We've made the same observation about the margin performance at AWS, Oracle and others – on the surface, AI capex/revs are not landing at the abysmal margin levels that the bears feared. Moreover, Microsoft guided to "double-digit" operating income growth in FY27.

That's the good news. The bad news is that going forward, GMs appear to be under more pressure. For 4Q/Jun, Microsoft guided to GMs of 66.2%, below our previous 67.7% estimate and -240bps y/y. The guide for 4Q/Jun operating margins of 44.0% was also ~130bps below our estimate. One is seeing this most acutely in the Cloud GMs, expected to be 64% in 4Q/Jun, down from 66% in 3Q/Mar. This guide reflects several sources of pressure, including a) high-GM Windows OEM revs are expected to be down hard, b) infra depreciation is ramping and c) the material ramp in GitHub coding usage (which under the previous seat-based model was weighing heavily on GMs). The GM pressure is even more material considering that the revs share that Microsoft was previously paying to OpenAI landed in COGS (it was not a contra-revs item) and the removal of this revs share under the terms of the new OpenAI agreement therefore boosts GMs beginning in 4Q/Jun.

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Potential FY27 Margin Guidance

For FY27, we're modeling a much higher 250bps decline in GMs to 65.5% and a more modest 70bps decline in OMs to 46.2%. But while we're raising our FY27 capex estimates, we have elected not to lower our FY27 GM or OM estimates, largely on a view that Microsoft appears to be aggressively exercising levers to mitigate the margin pressure. On the 3Q/Mar call, Microsoft went out of its way to say that headcount is tracking down y/y – that the company will cut opex growth in order to manage margins and hit its guidance for FY27 of "double-digit" operating income growth. Intra-quarter, Microsoft obviously did another large headcount reduction in the Gaming/Xbox segment, the pricing change in GitHub Copilot should mitigate the GM pressure in that revenue stream, and the M365 pricing changes (discussed in the next section) should boost M365 segment margins. While Microsoft's 1P model training efforts land in R&D expenses and could pressure OMs, the latest messaging implies to us that these are lighter-weight 1P models for specific use cases and may NOT carry a material training cost burden. Bottom line, we would not be surprised to hear Microsoft set its initial FY27 EBIT margin guide to be "down modestly" (perhaps by 50-100bps), which many investors will conclude implies "flat" with some normal upside (an outcome that in our view is in-line, not negative).

GM Impact of AI Cost Inflation

One lingering investor concern is that Microsoft, as well as its AI infra peers, is subject to locked-in/fixed pricing over its multi-year Azure AI contracts but open to the impact of higher-than-expected hardware (memory and other) inflation, thereby squeezing GMs. In our own conversations, the AI infra providers are signaling that this concern is overstated, that they lock-in pricing when they can also lock-in costs and/or that there are provisions in LT contracts enabling them to pass along hardware inflation. Indeed, we recently reached out to Microsoft on this subject and heard:

- *We have a diverse set of contract structures, and importantly, multiple levers within our commercial model that allow us to manage pricing over time. These include how we structure large agreements, how new services are priced as they're introduced, and the fact that many contracts are based on a set discount-to-list framework. Taken together, this gives us flexibility to balance customer value and cost dynamics without relying on any single pricing action.*

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Reversing the Office/Copilot Narrative

As we noted, it was in fact concerns about the Office/Copilot side of the house that were weighing on the stock for much of late-2025 through April/May. In our judgement, the solid Copilot seat disclosure on the 3Q/Mar call, solid M365 Commercial Cloud segment growth as well as an absence of any worrisome moves by Anthropic/OpenAI into the productivity software market have quieted these concerns, such that the risk factors most discussed by investors appear to have swung back to Azure/capex. Based on our recent checks, particularly around the M365 price increases, we now feel BETTER about this part of the Microsoft story.

Broader Microsoft Demand Feedback

Let's start with the latest demand trends on Microsoft that we picked up. Our broader enterprise cloud infrastructure demand checks have been very strong over the last several quarters (and indeed this has shown up in the sequential dollar adds of AWS, Azure, and Google Cloud), though we'd characterize this round of checks as still healthy albeit with some pockets of caution. Across the four partners who noted broader Microsoft practice results, the June quarter was generally in-line to slightly ahead of plan, although one partner noted a material impact to Azure growth from capacity constraints (as noted above). Net, we didn't pick up any cautious anecdotes to weaken our confidence that Microsoft can sustain double-digit total revs growth in FY27.

- **Partner 1 -** *YTD indication is that we are tracking pretty in-line with Microsoft growth. I don't expect June to deviate from that. We expect to accelerate in our FY27 ended June. Microsoft expects 6x growth in Copilot seats for SME&C next year. That's where we have the largest opportunity. A lot of enterprise global customers have already invested in Copilot. We're expecting more movement from Office to Microsoft and E3 to E5, now E5 to E7. When it comes to Azure, there's still plenty to migrate to cloud so not expecting that to fall off a cliff.*
- **Partner 2 –** *The Microsoft practice has done well, not as well in Azure but in E3/E5, we've done well. We had almost 30% y/y growth there. Azure has been more around 17% growth. We're looking at 32% total growth for the calendar year. We have had a boom in Copilot growth but to put it in perspective, when you go from very little to having some, it looks like massive growth. Overall, it's been strong. E3 was about 5% under plan but we made up for that because I'm trying to push E5 which was 25% over plan. That is more profitable for me. We have had a little pause here with Azure. Azure slowness has been more due to capacity restraints that Microsoft has. We've had customers say they are trying to expand and get pushback from Microsoft. These are F500 customers trying to increase their Azure environment. What it seems like to me - Microsoft hasn't said this - is that they're reserving capacity for AI rather than enterprise customers.*
- **Partner 4 -** *It's clear that everything is becoming agentified. It's about the business value. Our KPIs have been very straightforward: order bookings, total revenue, and revenue coming for AI. If I attach a number for Microsoft, it's 100-105% achievement in all those KPIs.*
- **Partner 7 -** *My Microsoft practice covers Copilot, 365, Azure, and security. We closed 2Q at 18-18.5%. This was above plan. Our plan for 1H26 was 15.5-17%. 2Q has been a breakout. The number one candidate was Azure. Other than that, I would call out M365, which has picked up. Along with that, the Microsoft security portfolio which comprises Defender XDR, Sentinel, Entra, and Purview, and Dynamics to a lesser extent, then finally Fabric. Considering 2Q results, we're adjusting 2H targets and now looking at 16-18.5% growth.*

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- **Customer 6 -** *Microsoft spend has increased dramatically with us the last quarter because of the amount of Copilot licenses we are buying. So far, Microsoft remains untouched with the whole cost cutting chaos. There's a huge amount of hope with productivity. The impact is quantifiable that users see how fast they are able to do their work. Our spend is up 15% from last year with Microsoft and this will remain through the rest of the year with the caveat that market conditions remain the same. We enhanced headcount in a joint venture where we're up thousands of employees. We are responsible for bringing the tools and the licenses, security, and Copilot tools. That's why there was an increase in spend. So far there has not been a topic of reducing Microsoft. What has happened is that we are trying to optimize Azure spend. If we can find areas to reduce it, we will but it's stable for now.*

M365 Copilot Momentum

Microsoft's disclosure of 20 million paid M365 Copilot seats in 3Q/Mar elicited mixed feedback. On the one hand, it only represents 4-5% penetration into the total commercial Office base and most investors were already anticipating 20+ million seats. On the other hand, the addition of 5 million more M365 Copilot seats to 20 million is impressive, as was the guide to 25+ million seats in 4Q/Jun, which coupled with the bullish commentary about M365 Copilot usage, started to alter/improve the "Copilot is a disappointment" investor narrative. We're coming around to a view that the cautious Office/Copilot narrative has largely run its course and on the margin is beginning to improve.

We of course asked our customer/partner checks intra-quarter about M365 Copilot (see below). It would be stretch to say that these checks signaled a massive adoption/usage inflection (see Partner 2 below). Rather, the tone was more about a modest steady usage improvement coupled with a view that the product is getting better. (*"it's definitely not the same product it was on launch day"* and *"product has definitely gotten better"*). Overall, the tone skewed positive, such that Microsoft's guidance for another 5+ million paid Copilot seat sequential add in the 4Q/Jun quarter seems achievable (we suspect that investors are modeling a little higher than 5 million adds).

- **Partner 1 –** *Microsoft used to get a lot of criticism on this product vs ChatGPT and others but it's definitely not the same product it was on launch day. It's improved significantly. We've seen a significant increase in Copilot over the past 12 months both in seats sold as well as usage. It's close to doubling the number of seats added in the FY ended June. Also in usage and adoption, that's increasing 60-70%. What Microsoft is preaching to their partners is to be customer 0. We've enabled over half our workforce with Copilot, and usage is up 90%+.*
- **Partner 2 –** *For Copilot, Microsoft has unrealistic expectations on Copilot goals. We achieved 14% of Microsoft's Copilot plan. If they wanted us to sell 100 seats, we only sold 14. Part of our reports with Microsoft is that we show our results and how we compare to the top 10 partners. We were #1 in goal attainment, and we have 347% y/y growth on Copilot. To their goal, we were still very low. So the rest of the partners missed more. It's too expensive. $30/user/month is a lot. If it was $10-$15, it would be more in expectations. That's what a lot of customer feedback has been. Copilot is decent in Teams for summarizing meetings but there's still a lot of room to grow. It's unfortunate because Microsoft owns PowerPoint and Word, but Claude and ChatGPT create better PowerPoints and results.*
- **Partner 3 -** *Customer feedback is that it's going beyond just helping them with PowerPoints and Excel. They're seeing value but not uniform value. A few customers are quite mature where they have a strong user case by business segment. Others are not. In terms of seat expansion, it's becoming focused on specific areas where customers really want to use these seats. They want to target expansion where they know there are benefits coming.*
- **Partner 5 -** *Most large customers have moved beyond pilots and are deploying Copilot to more targeted groups. In every organization like ours, seats are increasing in a short time frame, which is good but there's a gap between seats and usage. It's not simply about turning your license on. I think seat growth is definitely strong but over the next twelve months, the key metric is how much business transformation is actually happening. I do think the product has improved meaningfully and that is helping the ROI conversation.*

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- **Partner 7 -** *The growth driver for M365 is not actually Copilot. The main one is the Microsoft strategy of gradually moving customers from E3 to E5. Copilot attach is fine but it's not a major value driver. It's more around security because you get a decent security bundle on E5. There's also regular organic seat growth. Seat growth is stable to a very low increase. There hasn't been any particular feature or characteristic improvement. The only thing it can do is summarization of emails and Teams. Cowork is supposed to be a significant step forward because it brings the context from the variety of your Microsoft apps. That's too new. But regular Copilot is stale.*
- **Customer 2 –** *We use Microsoft Copilot. For productivity tools, we're giving it at the VP level and above, but not everybody in the company gets it. You have to apply and ask for it and your VP needs to be willing to pay for it. Then there's monitoring. If you have a seat and you're not using it, it probably would be recycled and taken away from you.*
- **Customer 3 -** *We have implemented Microsoft Copilot. Now we are adding OpenAI and Anthropic for enterprise use. We are allowing some users to use Gemini through an alliance.*
- **Customer 4 -** *We have browser chat for Microsoft but in terms of broader AI workforce tools, we're evaluating these, and Microsoft is in the running. We're looking at the Claude model set as well. Nothing against Google and Gemini but it's not a preferred model.*
- **Customer 5 -** *The adoption of Copilot has been generally increasing as we're moving from pilots to broad enterprise programs. So we're moving from a few hundred to all users. Right now, it's not deployed to 100% of users today but we expect that at least by the end of next year, every employee sitting in front of a laptop will have Copilot. It has been given quite a good amount of value as capabilities increased. ROI varies based on user group.*
- **Customer 6 -** *We are rolling out Copilot to 75% of our employees because 25% of our employees are in the production plant. We're at roughly 40% of employees today.*
- **Customer 7 –** *Copilot usage is definitely growing and we've put a lot of effort into this as well. It's rolled out to entire firm. We also have FDEs with Microsoft that are looking at various processes then we have some on each line of business to look at Copilot and how it goes. The product has definitely gotten better by releasing new features like Researcher. People use it a bit like Google.*
- **Customer 8 -** *We're still early on in AI. We've rolled out both M365 and GitHub Copilot. I think Foundry IQ is interesting too. I think for M365 Copilot at $30 a month, we get the value out of it but that could be a different consideration if they charge on consumption. I think if that had consumption pricing, I might actually spend less than $30 based on how much I use it.*
- **Customer 9 -** *The hallucinations in AI products in general, and in Copilot, have not fully been solved. Our Copilot adoption is still relatively low but now improving. Looking back, earlier versions of Copilot were not great, and hence users tried it and adoption faded, but now that the product has improved, we need to get those users back in the fold.*

Early Copilot Cowork Feedback

Announced in March and GA in mid-June 2026, Copilot Cowork enables Microsoft to leverage Anthropic's Claude Cowork harness natively inside Copilot. Relative to Copilot's more single-step prompting and processing, Cowork can string together multi-step workflows autonomously across apps and context. While we think a sizeable portion of investors viewed this decision as an admission that Microsoft was behind in AI innovation and ought to have innovated more quickly rather than partner (forcing Microsoft to share the rents of Cowork), in our view, Microsoft's decision to partner with Anthropic to launch the product was the best outcome for Microsoft given the pace of innovation at the model providers. We understand Microsoft's argument that its customer base expects secure, enterprise-grade products – a more lengthy development process - relative to the initially consumer/SMB-focused customers primarily served by the model providers.

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In our view, a rapid ramp of Cowork adoption is the most intriguing potential catalyst to reverse any lingering Office/Copilot growth concerns. We're biased constructive based on early checks, but frankly it just feels too early for Cowork traction to impact Copilot seat growth or overall M365 growth (it only recently went GA). Use cases still appear to be in the discovery phase, with one initial use being document or PowerPoint generation leveraging multiple content libraries. If there was one early drawback that we heard, it was Cowork's consumption pricing component.

- **Partner 1 –** *With Cowork, consumption credits will show up in Azure consumption. Cowork used for complex, multi-area tasks, so doing research across data sets, having multiple output documents such as a report, executive summary, and PowerPoint, that's where Cowork was helpful with multiple outputs from multiple sources. Copilot was great for single source. The challenge we had was really enablement and adoption of customers, where they can understand when to use Copilot and when to use Cowork as Cowork will create consumption. It was surprising how quickly things can ramp up. Last week I spent an hour going through questions and refining documents. I pointed it at a library of 10-15 folders containing documents and emails to build a brief summary. It would have taken me and my team hours to do but took me an hour to do with Cowork. It would have cost 6,500 credits, or $65. If you think that saved 25 hours of work, then that's a great deal but it can spin up fast. We haven't seen the cost analysis of Copilot Cowork vs Claude Cowork/ChatGPT yet.*
- **Partner 2 –** *It's still too early. The excitement is that you can use Claude as the backend engine. I think there's hesitation with consumption pricing. $30 is still viewed as pricey. I think there will be usage limits but maybe not freeing up of other Microsoft dollars. Unless customers get a lot of value, they're probably not going to spend more.*
- **Partner 3 -** *With Cowork, I see it has a long way to go but the interest is there.*
- **Partner 5 –** *It's still very early. Feedback has been generally positive for customers who have moved beyond basic adoption. I think it represents the next stage of the journey. The first phase was making individual users more productive. The next stage is making AI work across individuals and participate in the organization. This is what customers are asking for, if AI and contract with multiple systems, improve processes without oversight, improve handoffs between teams. The issues are how do you enforce governance and change management. Customers are nervous about that. I would not describe this market as being at large scale adoption yet. The theme I see is customers are more comfortable paying for AI which can perform work rather than assist the user. If that trend continues, I think consumption models are a big growth vector.*
- **Partner 6 -** *You buy Copilot in M365 but anything agentic you are spinning tokens in Azure.*
- **Partner 7 -** *Very initial feedback is that Cowork is embedded across multiple apps, where customers are hopeful it will save them time at the end of the day, summarizing documents, creating a new one with the right context. That's the expectation with Copilot Cowork. Trust is developing across the Microsoft customer base, but ROI is extremely difficult to establish. The consumption piece is a non-starter. On top of the fixed $30 fee, customers don't see the value.*
- **Customer 2 –** *The AI spend that I'm worried about is the Coworks of the world with consumption pricing, and the people who are building apps and productivity solutions with that.*
- **Customer 4 –** *Copilot Cowork is part of our productivity tool pilot with Copilot and Claude for productivity. If one's crazy more expensive than the other and they're technologically close, then the commercial side will win. If they're similar cost wise, they will come down to tech today.*
- **Customer 5 –** *We are trying to get feedback from some users who have gotten it. It is generally positive but early. Cowork will be heavy token usage.*

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- **Customer 6 -** *We recently had a very impressive demo and slideshow of what Cowork can do for us. The value is there but we do not see that the tool will change a lot in terms of if it can help you draft emails or coordinate appointments faster. It's a nice-to-have but not a must have because the existing capability in Copilot is good enough to do 60-70% of what Cowork offers. Second, the consumption pricing piece is difficult for us to rationalize. So I would say it's not something we are interested in right now.*
- **Customer 7 -** *I think Cowork is very good. It's just how you apply it. When you start actually using it, you say well actually I'd like to see it do this and this. I think it's a reasonable hypothesis that enterprises could buy more Copilot seats because of Cowork. Because it integrates so much into other tools, that's where Microsoft has the leverage. Whether you like or hate Teams, the integration is so key. I'm not saying it's the best, but it's the integration. The Copilot integration is remarkable.*
- **Customer 9 -** *Our early pilot of Copilot Cowork has been positive, the product is quite good.*

Competition with OpenAI, Anthropic and Google

Based on our checks and our semi-annual Enterprise AI surveys (see latest from May 2026 here), M365 Copilot has maintained a leadership position in mid-large enterprises despite share gains from OpenAI (via its new ChatGPT Work product, combining ChatGPT and Codex, bringing more AI coding capability to non-technical users) and Anthropic Claude (via Claude Cowork). Based on our survey work, other participants Google Gemini, SpaceX/Grok and Perplexity) appear to have lost some ground. More may be coming from Microsoft to bolster its competitiveness, as Microsoft's CEO disclosed during the early-June Build Conference keynote that Microsoft has its own pending version of a 'super app' coming this summer, combining 'chat, Cowork, and code all in Copilot'.

- **Partner 1 –** *Claude was really popular and still is. It does move in waves of tool popularity. We certainly see customers commit to the Microsoft stack. Microsoft does have the advantage of other models in their Copilot and Cowork engines and they do position Copilot with that. We have not seen customers split users between vendors. They're all in on Copilot or all in on Gemini if they're on Workspace.*
- **Partner 2 –** *We're seeing a mix. A lot are going with OpenAI or Claude. Some are adding and testing Copilot. A lot of times, enterprises will use a mix of OpenAI or Claude in development or automation and they'll have some Copilot seats with integrations to the Microsoft stack. You don't see one customer fully commit 100% to Copilot over a competitor. Cowork somewhat improves Microsoft's positioning. Microsoft has also limited some of the functionality of what Anthropic Cowork can integrate into. You can integrate it into OneDrive to view documents but it can't create. You need to do that manually. But Copilot Cowork can create a document. It integrates into the security so that is an advantage. Could the frontier labs disintermediate Office? I think they could but I think this is such a long way away. Has Microsoft completely fumbled Copilot? Absolutely, but they have the dominant productivity suite and no one can touch it. If they're not careful can it be replaced? Yes. Do OpenAI and Anthropic have a better plugin? Yes they do. But to replace the years of integration from the Office suite, that would take so long. The closest competitor is Google and they're not a small company, but they have had a tough time displacing Office. Could it happen? Yes, but the development to do that would take a long time. You'd have to change users' behavior. Second is the cost to do that. OpenAI and Anthropic are bleeding a ton of money so it would be very difficult.*
- **Customer 1 -** *We're also no longer using Microsoft 365. We started using OpenAI in the beginning a lot and now not as much. Leaving M365 was to get to an end-to-end chain in the Google landscape from Docs to all these tools. It's also a lot better on collaborative workflows. I have nothing against M365. I think it's the best one to work in isolation but to work in the full suite, it's Google. Google systems are also a lot less expensive for Google Drive and work management.*

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E7 – A New Bundling Opportunity

The new $99 E7 'Frontier Suite' bundle launched on May 1, which includes E5, M365 Copilot, the Agent 365 agent control plane, and the Entra identity suite. Given Microsoft's success with bundling Office and driving upgrades, we see E7 as another opportunity to support M365 Commercial Cloud, yet we're staying balanced given 1) it's clearly still early from checks in terms of adoption and 2) while we didn't pick up incremental discounting on Copilot, three partners noted Microsoft is motivating initial E7 upgrades via discounts, such that the uplift vs E5 is likely minimal to date.

- **Partner 1 –** *The sticker price for E7 is $100/user which is rather steep, so Microsoft is trying to get some key new logo wins. We're seeing very heavy discounts on E7 on enterprise agreements now. We know there will be discounts and promos for CSP customers as well. We've been seeing customers buying E7, not wall to wall yet but 10-50% across the user base in return for anywhere between a 10-50% discount. If you get a 50% discount, it's cheaper than E5 so some CIOs will say they might as well get it even if they don't use it all on day one. Entra Agent ID and Agent 365 interest is all about price for the customer perspective.*
- **Partner 2 –** *We're closing a 2,800 seat deal on E7. It's $99 right now. That includes the discount. We're told that there will be a 15% increase after the initial promo period.*
- **Partner 6 -** *Now they are throwing E7 in the mix. You got a really good deal to go to E5 and when they come out with new SKU they leverage the shift. They are now telling customers here is why you need E7. They were paying $38 per user per month for E5 but on renewal that is going to be $60 because they won't give any discount with E5. Or you can go to E7 for the low price of $70, so each cycle your leverage gets less and less. They are going to use Agent 365 and Agent offerings to justify that everyone needs a license.*
- **Partner 7 -** *E7 is a step up from E5 but Microsoft is strategically and perhaps intentionally limiting the E7 upgrade to a few customers. It's almost a selective invite. Microsoft wants to make E5 the volume driver, not E3. The difference for E7 from E5 is agent governance and Entra. That's it. In general, customers are not asking about E7.*

M365 Price Increases – A Potential Catalyst

Bottom line, we're not convinced that the combination of a) M365 Copilot traction, b) the early lift from Copilot Cowork and c) any early lift from the E7 bundle will be enough to really move the needle in terms of the overall Street narrative around Microsoft's Office/Copilot growth or in terms of reported M365 Commercial Cloud segment growth. These drivers need more time. But, there is ONE key potential driver of M365 Commercial Cloud growth that does have us intrigued, and that is pricing changes. As one partner told us, *"Microsoft has made more changes to its licensing in the last year than it has in the last 10 years"*. We're referring to these changes in particular:

- **Elimination of Discounts (Effective Nov 1, 2025):** Back in August 2025 (we addressed this in a deep-dive, see report here), Microsoft announced a new pricing and licensing model, standardizing pricing across most of its customer tiers. This pricing change essentially eliminates the discounts offered on volume licensing deals, specifically customers on EA contracts (enterprise agreements), except for "Level E" customers (Microsoft's largest global accounts). This standardizes pricing but results in a net price increase for many customers with attractive discounts under existing EAs. The change was effective November 1st 2025, with partner estimates of the net price increase generally ranging from 5-15%.
- **M365 Price Increase (Effective Jul 1, 2026):** In December 2025, Microsoft announced a set of price increases across the M365/O365 suite effective July 1 (see link here to Microsoft's blog post about the change). Of the two Microsoft-focused partners we spoke with in this round of checks, we heard a range of a 7-10% effective increase in cost from this change).

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- **Copilot Cowork Consumption Pricing:** In mid-Jun 2026, Microsoft announced the GA of Cowork (see link to blog post here) and clarified the pricing model. Through March, shortly after Cowork was announced, the messaging from Microsoft had been around embedding Cowork at no added cost in Copilot, in part as a vehicle to drive Copilot seat growth. In the mid-Jun disclosure, Microsoft made clear that Cowork still requires an M365 Copilot seat but that Cowork usage will be billed on top of the seat cost via Copilot Credits, with each task priced based on various inputs (model use, context retrieval, tool calls, and runtime). Microsoft confirmed that the consumption component of Cowork pricing was reflected in the guidance offered on the 4Q/Jun call.

Bottom Line – Upside to M365 Revenues

This large (~$94 billion) segment posted growth of 15% in 3Q/Mar, one point above the high end of the 13-14% guide and in-line with our estimate. Seat growth of 6% was stable (no evidence of Office seat growth compression) with Microsoft highlighting ARPU growth from E5 SKU upgrades and Copilot. Looking forward, Microsoft guided to a modest deceleration to 13-14% c/c growth in 4Q/Jun (15-16% adjusted for prior-period items). As we've noted above, Microsoft enjoys the confluence of multiple price changes in the 1Q/Sept quarter, raising the prospect that the guidance for the M365 Commercial Cloud segment could be solid. We are modeling 16% c/c M365 revs growth in 1Q/Sept and in subsequent quarters, at the high end of the 14-16% growth rate range that Microsoft has posted for this segment for eight straight quarters.

In Figure 5 below, we took a stab at modeling out the revenue impact of just the recent July 1st price change (the combo of this plus the fall 2025 change would be even greater). We leveraged our best guess estimates on Microsoft's Office SKU mix and applied the varying price increases across SKUs. With this increase more targeted around the enterprise-focused E and F SKUs, we're assuming a 3-year average contract duration and renewals evenly spread throughout the year to land at a ~150 bps benefit to M365 Commercial Cloud growth in FY27. Combined with the fall of 2025 change in EA discounting, potential Cowork uplift and improving Copilot momentum, the M365 segment could be a source of upside surprise.

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Figure 5: Estimated July 1st Price Increase Impact

O365 SKUs	4QF26 Seat Mix	4QF26 Seats	Prior List price	New List price	% price Increase	Total annual $ Uplift
Standalone (Outlook, Sharepoint, etc.)	12%	56.7				
Education	7%	30.7				
M365 Apps Business	1%	6.3				
M365 Apps Enterprise	2%	8.0				
SMB Basic	10%	48.0	$6.00	$7.00	17%	**$576**
M365 Business Standard	16%	72.8	$12.50	$14.00	12%	**$1,311**
M365 Business Premium	2%	7.6				
E1	4%	20.2				
E3	19%	90.5				
O365 E3		45.3	$23.00	$26.00	13%	**$1,630**
M365 E3		45.3	$36.00	$39.00	8%	**$1,630**
E5	14%	67.0	$57.00	$60.00	5%	**$2,413**
Front-Line Worker (FLW)	13%	60.4				
F1		30.2	$2.25	$3.00	33%	**$272**
F3		30.2	$8.00	$10.00	25%	**$725**
Total O365 Paid Seats	**100%**	***468.4***			**9%**	**$8,558**

M365 Commerical Cloud Uplift ($M)	
Prior FY27E O365 Commercial Revenue	**$72,979**
% Y/Y	**17%**
4Q/Jun 2026 O365 Paid Seats	468.4
Price Uplift	**$8,558**
Weigted avg price increase	13.8%
% of base renewing in FY27	33.0%
Renewal timing rev rec adjustment	50.0%
FY27E price increase contribution	**$1,412**
Estimated bps of O365 Commercial growth uplift	227bps
Estimated bps of FY27 M365 Commercial Cloud growth uplift	**160bps**
Estimated bps of FY27 Microsoft Total revs growth uplift	43bps

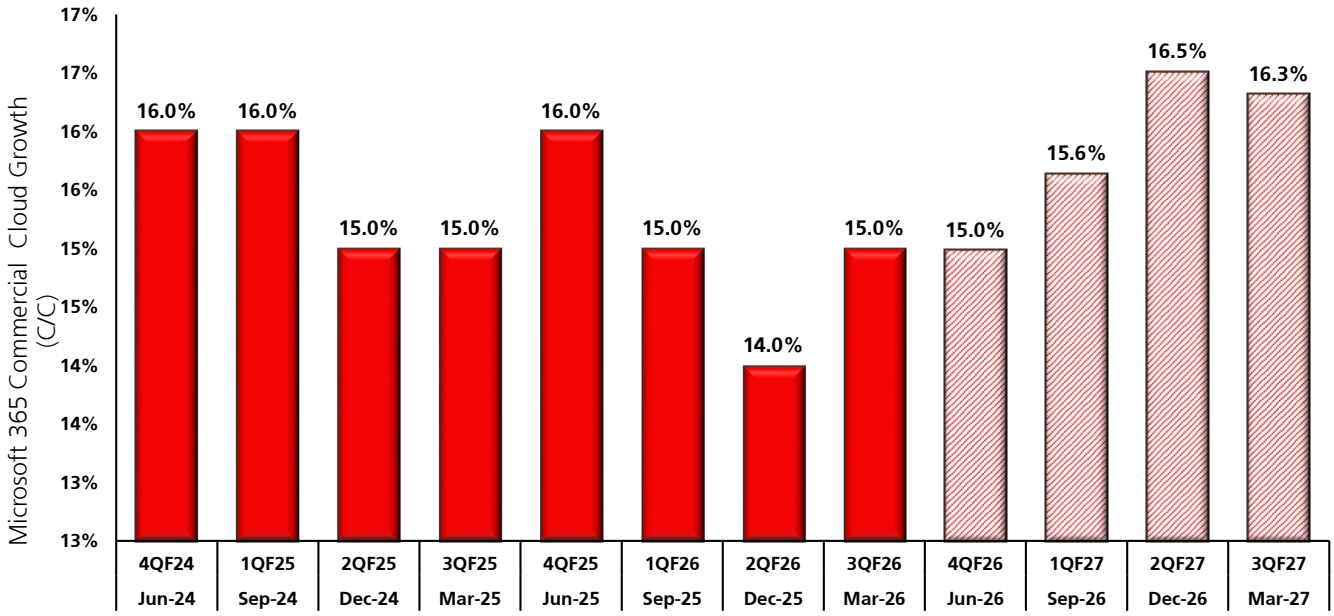
Source: Company filings, UBSe

Raising Our M365 Segment Revs Estimates

Net, we feel comfortable enough with the durability of M365/Office seat growth, with steady M365 Copilot traction, with the early positive read on Copilot Cowork and most importantly, with the lift to revs growth from the various pricing changes, that we are raising our M365 Commercial Cloud segment growth estimates. As indicated in Figure 6 below, we are now modeling FY27 M365 Commercial Cloud revs growth of 16.2%, up 70bps from our previous estimate of 15.5%.

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Figure 6: UBS M365 Commercial Cloud Segment Estimates



Source: Company filings, UBSe

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Valuation Thoughts

As noted, Microsoft shares have lagged most peers and the stock is -21% YTD on issues that we hope to have addressed in this report. The stock now trades at CY27E multiples of 19x GAAP EPS and 17x non-GAAP EPS, in our view reasonable given the emerging AI opportunity, the company's strong execution and our projection for mid-teens non-GAAP EPS growth. The set-up also benefits from the fact that many investors are decidedly mixed about the stock and the AI infrastructure market in general, nervous about rising AI capex, uncertain AI ROI and high exposures to frontier labs. We remain Buy-rated but we're balanced into this coming print, as we're not confident in outsized upside to Azure growth estimates and unclear about the market's reaction to a potential capex guidance raise. Given weaker investor sentiment towards the AI infrastructure market, we're modestly trimming our PT from $510 to $480, based on an assumed CY27 non-GAAP PE multiple of 21x (prior 22x), still a deserved premium to the peer group.

Figure 7: Peer Group Valuation

		Stock Price	% Change	Market	Revenue Growth			EV/FCF		Non-GAAP P/E	
Company	**Ticker**	**7/24/2026**	**YTD**	**Cap ($M)**	**MRQ**	**CY26E**	**CY27E**	**CY26E**	**CY27E**	**CY26E**	**CY27E**
Amazon.com, Inc.	AMZN	$232.11	1%	$2,524,351	16.6%	15.0%	13.4%	NM	NM	23.9x	21.4x
Alphabet Inc.	GOOGL	$319.74	2%	$3,935,680	24.2%	23.6%	22.8%	NM	NM	18.0x	20.0x
ServiceNow, Inc.	NOW	$98.78	(36%)	$102,207	24.0%	22.5%	17.1%	17.5x	15.1x	23.4x	19.2x
SAP SE	SAP	€140.20	(42%)	€162,616	9.4%	9.2%	11.6%	15.9x	14.1x	19.9x	17.1x
Microsoft Corp.	MSFT	$381.70	(21%)	$2,847,482	18.3%	16.9%	18.2%	NM	NM	19.2x	16.9x
Atlassian Corp.	TEAM	$86.88	(46%)	$22,695	31.7%	22.6%	14.1%	11.7x	12.1x	15.0x	15.2x
Autodesk, Inc.	ADSK	$209.75	(29%)	$44,677	18.4%	14.0%	9.8%	15.9x	14.3x	16.6x	14.0x
Oracle Corporation	ORCL	$114.99	(41%)	$335,196	20.6%	25.9%	38.7%	NM	NM	15.4x	12.6x
Workday, Inc.	WDAY	$135.34	(37%)	$34,419	13.5%	11.5%	10.7%	10.3x	9.0x	12.2x	11.2x
Intuit, Inc.	INTU	$296.33	(55%)	$81,787	10.4%	11.0%	9.9%	10.1x	8.7x	11.6x	10.3x
Salesforce, Inc.	CRM	$163.66	(38%)	$142,548	13.3%	11.5%	10.0%	11.5x	10.2x	11.4x	10.1x
Adobe, Inc.	ADBE	$225.11	(36%)	$90,584	12.7%	11.8%	9.3%	8.6x	7.9x	9.2x	7.9x
Mean:			**-33%**		**17.7%**	**16.2%**	**15.2%**	**12.7x**	**11.4x**	**16.1x**	**14.4x**
Median:			**-37%**		**16.6%**	**14.0%**	**11.6%**	**11.6x**	**11.1x**	**15.4x**	**14.0x**

Source: Company filings, UBSe, Visible Alpha

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US AI Business Survey (>Access Dataset)

This report leverages the following UBS Evidence Lab asset: US AI Business Survey. This survey of IT executives/ data engineers involved in making decisions related to the evaluation and use of Generative Artificial Intelligence (AI) provides a view on companies' expected adoption and usage of AI.

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Forecast returns

Forecast price appreciation	25.8%
Forecast dividend yield	1.0%
Forecast stock return	26.8%
Market return assumption	9.3%
Forecast excess return	17.5%

Company Description

Founded in 1975, Microsoft is the world's largest software company, generating over $200bn in annual revenue in fiscal 2023. Operating in over 190 countries, the company is a market leader across numerous software categories, with core solutions including cloud computing infrastructure (Azure), productivity applications (Office and Office 365), operating systems (Windows), business applications (Dynamics), internet services (LinkedIn, Bing), database software (SQL Server), gaming (Xbox), devices (Surface), and other products and services addressing enterprise and consumer technology markets.

Valuation Method and Risk Statement

We value Microsoft on a relative P/E multiple on CY27 estimates. Key risks for Microsoft include the IT spending environment, the pace of decline in legacy businesses relative to growth in newer Cloud-centric businesses, the required capex investment needed to build Cloud datacenters, competitive pressure from Cloud-native leaders like Amazon and Google, and legal and regulatory risk given Microsoft's dominant position in PC operating systems and productivity applications. Microsoft operates in the technology industry which also sees rapid change and innovation, and the company's market opportunity could change rapidly if technology and demand preferences shift in an unanticipated direction.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Microsoft Corp.

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

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UBS Securities LLC: Jack Fyda, Karl Keirstead, Taylor McGinnis.

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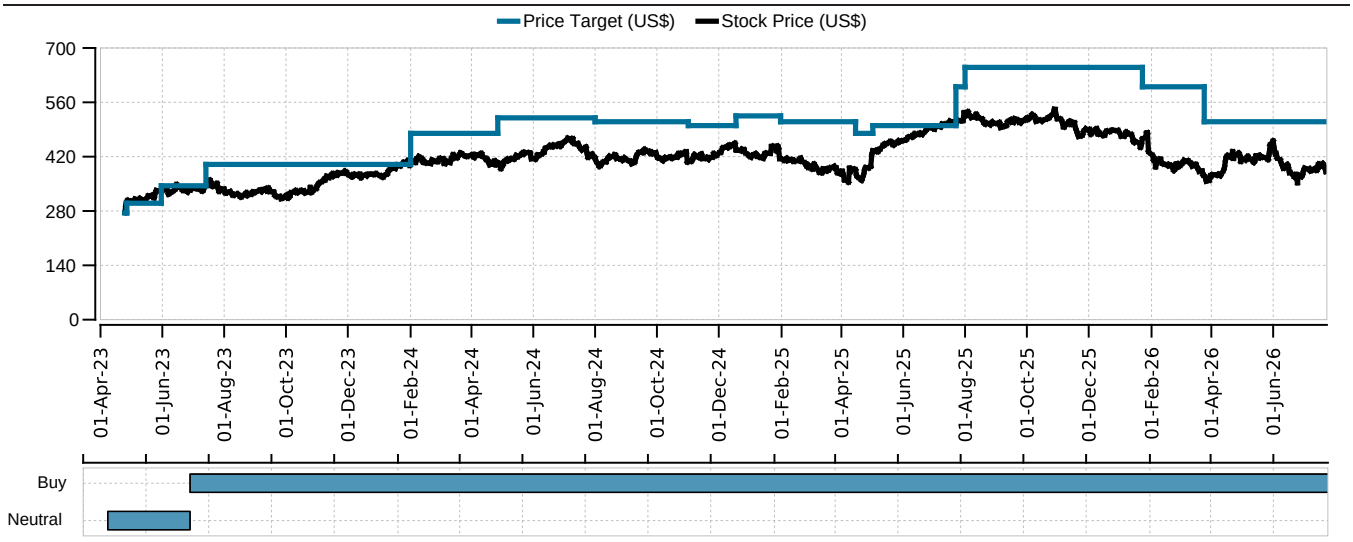
Company Name	Reuters	12-month rating	Price	Price date
Microsoft Corp.[4,16,28,7,8,6a,6b,6c]	MSFT.O	Buy	US$381.70	24 Jul 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

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Microsoft Corp. (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-04-24	281.77	275.00	Neutral
2023-04-26	295.37	300.00	Neutral
2023-05-30	331.21	345.00	Neutral
2023-07-13	342.66	400.00	Buy
2024-01-31	397.58	480.00	Buy
2024-04-26	406.32	520.00	Buy
2024-07-31	418.35	510.00	Buy
2024-10-31	406.35	500.00	Buy
2024-12-17	454.46	525.00	Buy
2025-01-30	414.99	510.00	Buy

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Date	Stock Price (US$)	Price Target (US$)	Rating
2025-04-14	387.81	480.00	Buy
2025-05-01	425.40	500.00	Buy
2025-07-22	505.27	600.00	Buy
2025-07-31	533.50	650.00	Buy
2026-01-22	451.14	600.00	Buy
2026-03-24	372.74	510.00	Buy

Source: UBS Global Research; LSEG Eikon as of 24-Jul-2026. All prices as of local market close. Ratings as of date shown.

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